

A Booming Primary Market

The IPO boom continued in 2005 too. While more companies were listed than a year ago (fifty-five versus twenty-six in 2004), the amount raised was lower by around 20 per cent (Rs 9,918 crore against Rs 12,402 crore).

If TCS was the blockbuster IPO of 2004, then Jet Airways and Suzlon Energy were the most sought-after offerings of 2005. Investor enthusiasm was natural, considering both Jet Airways and Suzlon were the market leaders in their respective sectors – aviation and wind turbines. Jet raised close to Rs 1,900 crore and Suzlon around Rs 1,350 crore.

Long-term investors in both stocks would lose heavily in the coming years, as the companies' financial performance kept worsening steadily.

To be fair to Suzlon, the stock delivered handsome returns through the bull market. Offered at Rs 510 to the public, the stock peaked at Rs 2,300 in the second week of January 2008 before its downhill journey. But investors who had bought the stock during the IPO still had a chance to make some profits, as it was only towards the end of October that the share price fell below the issue price. But Jet Airways turned out to be a disappointment for IPO investors in less than a year after its listing. In fact, many investors started to regret their decision within a month's time of their purchase. It must have caused all the more heartburn considering Jet was tipped to be a sure winner because of its dominant market share.

There was some heartburn in store for merchant bankers too.

Till August 2005, merchant bankers to a public issue could decide which institutional investors to allot shares to, and how much, whenever the issue was oversubscribed. This arrangement helped the merchant bankers favour